SG Banks - RHB Research 2025-11-20: A Mixed Set Of 3Q25 Results

A Mixed Set Of 3Q25 Results From SG Banks

- Singapore banks under our coverage (SG Banks) generally had a good quarter for wealth fees on improved investor sentiment and continued strong net new money inflow. NIM, though, remains under pressure, and UOB (https://sginvestors.io/sgx/stock/u11-uo decision to accelerate the build-up of its loan coverage dampened overall
- DBS (https://sginvestors.io/sgx/stock/d0 info) remains committed to its ordinary dividend gives the stock a 100-120bps d

RHB
Singapore Sector Up


- We stay NEUTRAL on the sector. Top Pick: DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info).

3Q25 Results A Mixed Bag.

- SG Banks posted a 10% q-o-q and 19% y-o-y decline in 3Q25 PATMI, weighed down by a jump in credit cost resulting from higher non-performing assets (NPAs) and the accelerated build-up of performing loan coverage at UOB (https://sginvestors.io/sgx/stock/u11-uob/stock-info). DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info)' results beat estimates on better-than-expected non-II, OCBC (https://sginvestors.io/sgx/stock/o39-ocbc-bank/stock-info)'s numbers were in line, while UOB (https://sginvestors.io/sgx/stock/u11-uob/stock-info)'s results were a miss due to higher-than-expected credit cost.
- While 4Q is seasonally a soft quarter, the normalisation of credit cost at UOB (https://sginvestors.io/sgx/stock/u11-uob/stock-info) could result in a sequential improvement in the sector's 4Q25 PATMI.

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Wealth Management (WM) Fees Shine But NIM Still Under Pressure.

- 3Q25 sector PIOP was up 2% q-o-q (-5% y-o-y), underpinned by stronger non-II (+13% q-o-q; +3% y-o-y). It was a robust quarter for SG Banks' wealth business with wealth fees up 27% q-o-q (+34% y-o-y) on strong net new money inflows and improved investor sentiment. This more than compensated for the continued NIM pressure faced due to falling benchmark rates, which led to a 2% q-o-q (-5% y-o-y) decline in NII.
- As mentioned above, the q-o-q and y-o-y decline in sector PATMI was due to higher credit cost, principally caused by UOB (https://sginvestors.io/sgx/stock/u11-uob/stock-info). Annualised loan growth was 3% amid resilient domestic-led growth while annualised deposit growth was a stronger 7% thanks to continued liquidity inflows, resulting in SG Banks enjoying ample liquidity.
- Overall asset quality was generally stable despite UOB (https://sginvestors.io/sgx/stock/u11-uob/stock-info) reporting a rise in new non-performing assets (NPA) from its commercial real estate (CRE) portfolio in the US and Greater China. Sector gross NPL ratio was broadly stable q-o-q at 1.16% while LLC improved to 120.4% (2Q25: 115.2%) thanks to UOB (https://sginvestors.io/sgx/stock/u11-uob/stock-info)'s provision coverage build up.

Briefing Highlights And Outlook.

- DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) and UOB (https://sginvestors.io/sgx/stock/u11-uob/stock-info) introduced their 2026 guidance, suggesting a modest backdrop ahead amid low-to mid-single digit loans growth coupled with some NIM pressure due to further US Federal Funds Rate (FFR) cuts expected. That said, both banks were more optimistic on non-II with WM to continue driving fees and help support overall operating income.

- With respect to asset quality, the banks remain watchful but have not observed any systemic signs of asset quality issues. DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) guided for a stable SP charge off rate next year while UOB (https://sginvestors.io/sgx/stock/u11-uob/stock-info) is comfortable with the coverage it has built up and guided for credit cost (CoC) to normalise to the 25-30bps range.
- Finally, prospects for further capital return dividends were mixed –
    - DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) reiterated its ordinary dividend step-up and capital return dividend commitments,
    - UOB (https://sginvestors.io/sgx/stock/u11-uob/stock-info) ruled out any further special dividend, while
    - OCBC (https://sginvestors.io/sgx/stock/o39-ocbc-bank/stock-info) investors will need to wait for the 4Q25 briefing for updates.

> **Earnings Forecasts.**

- During the reporting quarter, the upward revisions to our DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) and OCBC (https://sginvestors.io/sgx/stock/o39-ocbc-bank/stock-info) forecasts were offset l downward revisions to UOB (https://sginvestors.io/sgx/stock/u11-uob/stock-info)'s numbers, leaving our FY25-27F sector PATMI relatively unchanged.
- Hence, we continue to expect sector FY25F PATMI to contract by 6% y-o-y followed by a +4% y-o-y PATMI rebound in FY26, underpinned by stronger non-II
- Continue to read the PDF report for complete analysis.

Above is an excerpt from a report by RHB Securities Research.
Clients of RHB may be the first to access the full PDF report @ https://www.rhbtradesmart.com/ (https://www.rhbtradesmart.com/).

Analyst: Singapore Research
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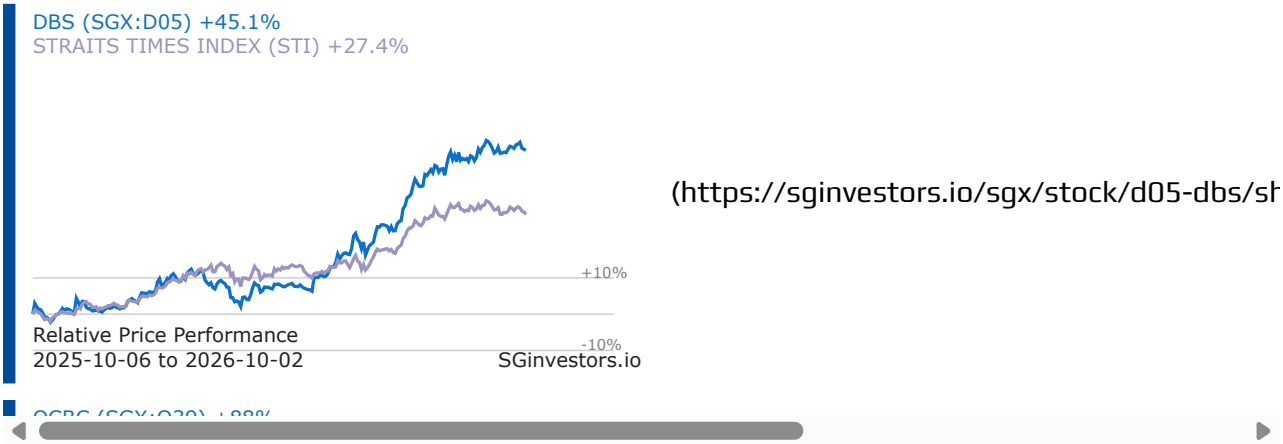
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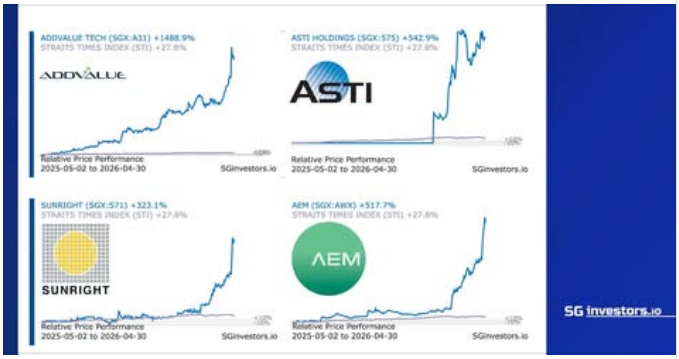
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